

CHAPTER 2

LITERATURE REVIEW

2.1 Introduction to the Literature Review

A good literature review does more than list what other people have said. It creates a conversation across studies, spotting where researchers agree, where they argue, and where the important questions still have no satisfying answers. This chapter does exactly that. It covers the theoretical foundations of digital banking, traces the evolution of academic thinking through key models and frameworks, critically reviews individual studies relevant to the Indian context and to YONO SBI specifically, and closes by identifying the research gap this project addresses. The literature on digital banking is genuinely large. Since the mid-1990s, when internet banking first emerged, scholars from information systems, marketing, finance, and behavioral economics have all weighed in. This review focuses selectively on the most relevant threads: technology adoption models, customer behavior in digital banking, financial inclusion through digital channels, platform-level studies of banking super-apps, and emerging challenges like cybersecurity and digital literacy. Each strand of literature has contributed meaningfully to how we understand YONO and its broader significance.

2.2 Theoretical Concepts and Frameworks

2.2.1 Technology Acceptance Model (TAM)

The Technology Acceptance Model, introduced by Davis (1989) in his landmark paper in *MIS Quarterly*, remains the most widely applied framework for explaining why people adopt new technology. At its heart, TAM proposes two key determinants: Perceived Usefulness (PU), defined as the degree to which a person believes that using a particular system would enhance their job performance, and Perceived Ease of Use (PEOU), defined as the degree to which using the system is believed to be free from effort (Davis, 1989; Wikipedia: Technology Acceptance Model, 2025). These two beliefs shape an individual's attitude toward using the technology, which in turn drives behavioral intention and actual use.

What makes TAM enduringly relevant is its parsimony. It cuts through the complexity of human-computer interaction and identifies the two variables that matter most. For digital banking specifically, TAM suggests that customers will adopt a mobile banking app if they believe it genuinely helps them manage their finances better (usefulness) and that navigating it does not feel like a chore (ease of use). Both of these dimensions are directly observable in YONO SBI's evolution. The original YONO 1.0 suffered waves of poor reviews on app stores largely because the ease of use dimension was not adequately addressed, which directly suppressed adoption among less tech-savvy users (The Week, 2025). YONO 2.0's redesign explicitly prioritized simplification and performance on low-end smartphones, a response that maps almost perfectly onto the PEOU construct.

TAM has since been extended in several directions. TAM2 (Venkatesh and Davis, 2000) added social influence and cognitive instrumental processes. TAM3 (Venkatesh and Bala, 2008) further integrated individual differences and anchoring mechanisms. Each extension has been validated empirically in banking contexts, and the core constructs of PU and PEOU have remained consistently significant across diverse populations and countries (Davis et al., 1989; Marikyan et al., 2026). That said, critics rightly point out that TAM in its original form does not adequately

capture trust, perceived risk, or the social context of adoption, all of which matter greatly in the Indian banking environment where first-time digital users often approach unfamiliar technology with caution.

2.2.2 Unified Theory of Acceptance and Use of Technology (UTAUT)

Venkatesh, Morris, Davis, and Davis (2003) proposed the UTAUT by synthesizing eight competing technology adoption models into a single unified framework. The four core determinants are Performance Expectancy (the degree to which the technology helps users achieve performance gains), Effort Expectancy (the ease of use of the system), Social Influence (the degree to which others important to the user believe they should use the system), and Facilitating Conditions (the degree to which an organizational and technical infrastructure exists to support system use). Four moderating variables, namely gender, age, experience, and voluntariness of use, shape the relationships between these constructs and behavioral intention (Venkatesh et al., 2003).

UTAUT has proven particularly useful in the Indian mobile banking context because it explicitly incorporates social influence, which matters enormously in a country where word of mouth, family advice, and peer group behavior drive adoption decisions more than individual rational calculus. Saxena et al. (2023) applied an extended UTAUT model to Indian mobile banking adoption and found that government support acted as a significant mediating variable between behavioral intention and actual adoption, a finding that makes particular sense in the post-demonetization environment where state-mandated digital payment targets created both facilitating conditions and social pressure to adopt. Chauhan et al. (2022) similarly extended UTAUT2 in the Indian e-banking context and found that consumer innovativeness and perceived risk both added explanatory power beyond the base model.

A 2021 meta-analysis of 127 studies using UTAUT in mobile banking research confirmed that all four core relationships are statistically significant, though the strengths vary meaningfully with sample size and cultural context (Jadil et al., 2021). This is an important nuance. India is not a monolithic market; adoption patterns in urban Maharashtra differ from those in rural Jharkhand, and a model calibrated on urban youth may underpredict or overpredict adoption in other segments. YONO's design challenge has always been to serve 500 million customers across this entire spectrum, which is part of what makes it such a rich case for studying technology adoption at scale.

2.2.3 Diffusion of Innovations Theory

Rogers' (1995) Diffusion of Innovations (DOI) theory offers a complementary perspective. Rather than focusing on individual psychology, DOI describes how an innovation spreads through a social system over time. Rogers identifies five adopter categories: innovators, early adopters, early majority, late majority, and laggards, and argues that five characteristics of an innovation determine its adoption rate: relative advantage, compatibility, complexity, trialability, and observability.

Applied to YONO SBI, the DOI framework helps explain the trajectory of its adoption curve. In its early years (2017 to 2019), YONO attracted innovators and early adopters who were comfortable experimenting with a new banking platform. The rapid growth between 2020 and 2023, when the user base jumped from roughly 2.7 crore to over 6 crore, reflects the early majority entering the market, a transition often facilitated in India by the COVID-19 pandemic,

which forced millions to interact with banking digitally for the first time (BusinessToday, 2021). Reaching the late majority, often older customers or those in rural areas with limited digital infrastructure, is exactly the challenge that YONO 2.0 is designed to address, particularly through its new lightweight architecture and planned expansion to 15 regional languages (SBI, 2025).

2.2.4 Financial Inclusion Framework

The financial inclusion literature, while not traditionally considered part of technology adoption theory, is indispensable for understanding digital banking in India. The World Bank's Global Findex Database has documented India's dramatic progress in account ownership, with the proportion of women in India owning a bank account rising from 43 percent in 2014 to 78 percent in 2021, largely attributable to the Pradhan Mantri Jan Dhan Yojana (PMJDY) program (European Journal of Development Research, 2023). Yet account ownership and account usage are not the same thing. IMF data shows that while access to financial services has expanded, actual usage, particularly for savings and borrowing, has remained disappointingly low (IMF, 2022).

This distinction matters for digital banking platforms. YONO's YONO Krishi initiative and its cardless cash withdrawal feature are specifically designed to convert account ownership into active digital participation. The financial inclusion framework suggests that digital banking platforms in India must do more than offer technical functionality; they must actively reduce the cost and complexity of participation for users who are new to formal finance, have limited digital literacy, and often distrust institutions they cannot physically visit.

2.3 Review of Previous Studies

The following studies have been selected for critical analysis based on their relevance to digital banking adoption, financial inclusion, mobile banking in India, and the YONO SBI platform. Each study is presented in a structured format covering the author and year, objective, methodology, key findings, and limitation, followed by a critical commentary that connects the study to the broader themes of this project.

2.3.1 Davis (1989): Perceived Usefulness, Perceived Ease of Use, and User Acceptance of Information Technology

Author & Year	Davis, F. D. (1989)
Objective	To develop and validate a model explaining why users accept or reject information systems, specifically personal computers in organizational settings.
Methodology	Survey-based empirical study using a sample of IBM Canada employees. Two sets of scales were developed and validated through lab experiments. Statistical analysis included correlation, regression, and factor analysis.
Key Findings	Perceived Usefulness (PU) and Perceived Ease of Use (PEOU) are the two fundamental determinants of user acceptance of information technology. PU had a stronger direct effect on usage intention than PEOU. PEOU, however, influenced PU and had an indirect effect on usage. The scales developed showed excellent psychometric properties and predictive validity.

Limitation	The study was conducted in a controlled organizational environment with IBM employees, making generalizability to voluntary consumer contexts like mobile banking limited. The study also predates the internet and mobile technology, which introduces entirely different user dynamics not captured in the original model.
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Critical Commentary: Davis (1989) laid the conceptual foundation for essentially every major technology adoption study that followed. However, applying TAM to YONO SBI requires caution. The original model assumes a relatively tech-comfortable user in an organizational setting. YONO's user base spans SBI's 500 million customers, many of whom are first-generation digital users in rural India with very different baseline assumptions about technology. Trust, which TAM does not address, is probably the single biggest barrier for this population. The model's continued relevance lies in its constructs, but no serious study of Indian mobile banking adoption should rely on TAM alone.

2.3.2 Venkatesh, Morris, Davis, and Davis (2003): User Acceptance of Information Technology: Toward a Unified View

Author & Year	Venkatesh, V., Morris, M. G., Davis, G. B., & Davis, F. D. (2003)
Objective	To formulate and validate a unified model of technology adoption by synthesizing eight existing models, and to examine how the four core constructs relate to behavioral intention and use behavior.
Methodology	Longitudinal field study across four organizations in the United States over a six-month period. A total of 215 participants provided data. Structural Equation Modeling (SEM) was used to test the proposed UTAUT model. The model was validated against the eight individual models it synthesized.
Key Findings	UTAUT outperformed all eight individual models, accounting for 70 percent of the variance in usage intention compared to around 40 percent for most earlier models. Performance expectancy emerged as the strongest predictor of behavioral intention. Social influence was significant in mandatory usage contexts but less so in voluntary ones. Gender and age moderated several key relationships.
Limitation	The study was conducted in organizational settings in the United States with mandatory technology use, which reduces direct applicability to voluntary consumer banking contexts in developing countries. Cultural dimensions specific to emerging markets like India, such as collectivist social norms and distrust of digital institutions, are not captured in the model.

Critical Commentary: UTAUT's inclusion of social influence is its most valuable contribution for understanding Indian digital banking adoption. In a society where financial decisions are deeply embedded in family and community structures, the fact that 'people important to me think I should use this service' shapes adoption far more than any individual cost-benefit calculation. What UTAUT still misses, even in its UTAUT2 extension, is the specific role of government credibility and institutional trust, which were arguably the biggest adoption drivers for YONO

given SBI's status as a government-owned bank. An Indian customer using YONO is not just adopting a technology; they are extending trust to a public institution, and that relationship is qualitatively different from adopting, say, a private fintech app.

2.3.3 Saxena, Gera, Nagdev, and Fatta (2023): Factors Influencing Mobile Banking Adoption in India: The Role of Government Support as a Mediator

Author & Year	Saxena, N., Gera, N., Nagdev, K., & Fatta, D. D. (2023)
Objective	To examine the factors influencing mobile banking adoption in India by extending the UTAUT and Technology Readiness models with a new construct of government support, and to test whether government support mediates the adoption relationship.
Methodology	Quantitative research using a structured questionnaire. Survey data was collected from mobile banking users across India. The extended model was tested using Structural Equation Modeling. The study drew on secondary data noting that only 31 percent of Indian households had a mobile banking app in 2020.
Key Findings	Government support emerged as a significant mediating variable between behavioral intention and actual mobile banking adoption. Performance expectancy, effort expectancy, social influence, and optimism all positively influenced behavioral intention. Government support amplified the effect of behavioral intention on actual use, suggesting that regulatory policy and infrastructure investment directly shape adoption outcomes.
Limitation	The study focused on general mobile banking users and did not differentiate between public sector bank platforms like YONO and private sector or fintech alternatives, which may have very different adoption dynamics. The sample was also skewed toward urban, educated respondents, limiting applicability to the rural segment that government digital initiatives are most designed to reach.

Critical Commentary: This study is one of the most directly relevant to understanding YONO's adoption. SBI's status as a government-owned bank means that YONO carries implicit government endorsement, which reduces perceived risk and increases trust among users who might be skeptical of private fintech companies. The finding that government support mediates adoption helps explain why YONO was able to grow its user base faster than comparable private sector apps despite having a technically inferior product during much of its early life. The study's limitation is real though; by not disaggregating public and private banking apps, it cannot tell us how much of the government support effect is specific to platforms like YONO versus general digital payment incentives.

2.3.4 Chauhan, Yadav, and Choudhary (2022): Adoption of Electronic Banking Services in India: An Extension of UTAUT2 Model

Author & Year	Chauhan, V., Yadav, R., & Choudhary, V. (2022)
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Objective	To identify the determinants of consumer adoption intention toward e-banking services in India by extending the UTAUT2 model with consumer innovativeness, perceived risk, and security information availability.
Methodology	Quantitative study using a structured questionnaire distributed to 721 consumers across India. Covariance-Based Structural Equation Modeling (CB-SEM) was used to test the hypotheses. The study was published in the Journal of Financial Services Marketing.
Key Findings	Hedonic motivation, performance expectancy, and habit were the strongest predictors of e-banking adoption intention among Indian consumers. Consumer innovativeness had a significant positive effect. Perceived risk negatively moderated adoption intention, and security information availability helped mitigate this negative effect. The extended model explained variance in adoption better than the base UTAUT2 model.
Limitation	The study focused on adoption intention rather than actual adoption or continued usage, which is a significant limitation given that stated intentions often differ from actual behavior in financial services. The sample was also predominantly urban, missing the rural segment where e-banking adoption challenges are most acute.

Critical Commentary: The finding that perceived risk negatively affects adoption is both unsurprising and consequential for YONO. Security concerns have been a persistent issue for mobile banking in India, and YONO specifically has faced criticism for transaction failures and fraud vulnerabilities. The study's implication that making security information more visible and accessible can partially offset risk concerns is actionable: YONO 2.0's enhanced security controls and improved OTP processes are directly aligned with this finding. The focus on urban India, however, means the study tells us little about the rural digital banking segment, which is arguably where the most transformative inclusion potential lies.

2.3.5 Mer, Singh, Khan, Khati, and Joshi (2023): Behavioural Intention to Adopt Mobile Banking by Millennials: Empirical Evidence from India

Author & Year	Mer, A., Singh, A. P., Khan, F., Khati, K., & Joshi, D. (2023)
Objective	To explore the determinants of millennials' behavioral intention to use mobile banking in India, combining UTAUT with technology readiness constructs of optimism and epistemic values.
Methodology	Survey-based quantitative study with 352 millennial respondents from the Delhi NCR area. AMOS 20 structural equation modeling was used. Two novel constructs, optimism and epistemic values, were introduced alongside standard UTAUT variables.

Key Findings	Risk perception had a significant negative correlation with millennials' behavioral intention to use mobile banking. Performance expectancy, social influence, epistemic value, and optimism all positively influenced behavioral intention. The combined model performed better than standard UTAUT alone, suggesting that millennials' adoption is shaped by both rational utility and a deeper curiosity about and optimism toward digital technology.
Limitation	The study was geographically restricted to Delhi NCR, one of India's most digitally advanced urban markets, which significantly limits generalizability to semi-urban and rural millennial populations. The focus on millennials also excludes Gen Z users, who represent a growing and potentially different segment of YONO's target audience.

Critical Commentary: This study matters for YONO because millennials represent the demographic that SBI specifically targeted when it originally conceived YONO through 'Project Lotus.' The finding that both rational performance benefits and emotional optimism toward technology drive adoption suggests that YONO's marketing strategy should not rely solely on transactional messaging about cost savings or convenience. Creating an emotionally engaging, aspirational narrative around digital banking, one that positions the app as part of a modern, forward-looking financial identity, may be at least as important as showcasing functional features. The study's Delhi-centric limitation is a genuine gap; a comparable study covering Tier II and Tier III cities would produce more nationally representative findings.

2.3.6 Jadil, Rana, and Dwivedi (2021): A Meta-Analysis of the UTAUT Model in the Mobile Banking Literature: The Moderating Role of Sample Size and Culture

Author & Year	Jadil, Y., Rana, N. P., & Dwivedi, Y. K. (2021)
Objective	To synthesize and clarify the empirical findings from 127 mobile banking studies using UTAUT, and to identify how moderating variables like sample size and culture account for heterogeneous results across studies.
Methodology	Meta-analysis using 364 path coefficients from 127 empirical studies. Weighted and meta-analytic techniques were applied. Studies from multiple countries and cultural contexts were included. Published in the Journal of Business Research.
Key Findings	All four core UTAUT relationships (performance expectancy, effort expectancy, social influence, and facilitating conditions) were found statistically significant in the m-banking context. Sample size moderated the linkage between facilitating conditions and usage intention. Culture moderated the relationship between effort expectancy and usage intention, meaning that the importance of ease of use varies across cultural contexts.
Limitation	Meta-analysis inherently aggregates diverse studies and may mask context-specific nuances. The studies included varied widely in their operationalization of UTAUT constructs, creating measurement heterogeneity. The review period ended in 2020, missing the post-COVID wave of digital banking studies that may show different patterns.

Critical Commentary: The finding that culture moderates how much effort expectancy (ease of use) matters is significant for India. In high-context, collectivist cultures, social influence and facilitation conditions tend to dominate adoption decisions more than in individualistic Western contexts where perceived ease of use carries more weight. This partially explains why YONO's growth has been driven more by SBI's distribution network and government nudges than by the app's user experience quality, which by most accounts was mediocre in its first iteration. For financial management professionals, this is a reminder that technology adoption in emerging markets follows different logic than the models originally developed in American organizational settings.

2.3.7 Ijaz et al. (2023): Assessing the Influence of Cybersecurity Threats and Risks on the Adoption and Growth of Digital Banking

Author & Year	Ijaz et al. (2023)
Objective	To examine how cybersecurity threats and perceived security risks affect consumer adoption and continued usage of digital banking platforms.
Methodology	Systematic literature review methodology, drawing on published empirical studies and RBI cybersecurity incident data. The study analyzed the relationship between security breaches, consumer trust, and digital banking adoption behavior.
Key Findings	Cybersecurity concerns directly impact user behavior and banking platform preferences. Security breaches erode consumer confidence and discourage digital banking adoption, particularly among risk-averse populations. Mbama and Ezepue's (2018) finding that perceived cybersecurity risks negatively affect mobile banking services was confirmed across multiple contexts. Proactive communication of security features was found to partially compensate for risk perceptions.
Limitation	The systematic review approach, while comprehensive, cannot establish causal directionality between specific security incidents and measurable drops in adoption. The study also treats cybersecurity concerns as uniform across demographics, when in reality rural and older users may process security risk very differently from urban millennials.

Critical Commentary: Cybersecurity is not an academic abstraction in the Indian digital banking context. RBI data shows that security incidents handled by CERT-In rose from 53,117 in 2017 to over 13,20,106 between January and October 2023 alone (RBI, 2024). YONO has not been immune; reports of account takeovers and phishing attacks targeting SBI customers have periodically surfaced in the media. This study's core message that security erosion has concrete, measurable consequences for adoption is validated by these real-world trends. YONO 2.0's enhanced security controls are thus not merely technical upgrades; they are strategically essential to maintaining and growing the user base in an environment of escalating cyber threats.

2.3.8 Balasundaram et al. (2025): Digital Financial Inclusion and Income Inequality in Rural India

Author & Year	Balasundaram, E., Aranganathan, P., Cailassame, N. S. N., Mathiazhagan, A., Vinoth, A., & Gajendran, A. (2025)
Objective	To investigate the relationship between digital financial inclusion and income inequality across rural districts in India from 2015 to 2023.
Methodology	Mixed-methods approach using a novel Composite Digital Financial Inclusion Index (CDFI). Spatial econometric techniques analyzed data from 500 rural districts. Fifty qualitative key informant interviews supplemented the quantitative analysis. Published in the Journal of Financial Services Marketing context.
Key Findings	A significant negative relationship was found between digital financial inclusion and income inequality. A one-unit increase in the CDFI was associated with a 0.243 decrease in the Gini coefficient, considering both direct and spillover effects. Western India showed the strongest impact; Eastern India showed the weakest. Qualitative findings highlighted cultural norms, infrastructure quality, and financial literacy as key mediators of the digital inclusion effect.
Limitation	The composite index, while innovative, relies on available administrative data that may not fully capture informal or cash-based transactions. The 2015 to 2023 period includes major structural disruptions including demonetization and COVID-19, making it difficult to isolate the independent effect of digital financial inclusion from these broader shocks.

Critical Commentary: This is among the most policy-relevant studies in the recent literature, and its findings have direct implications for YONO's mandate as a public sector platform. If digital financial inclusion measurably reduces income inequality in rural India, then YONO's expansion into rural markets is not just a commercial growth strategy but a genuine development intervention. The regional variation in the study, with Eastern India showing weaker effects, is particularly important because SBI has significant branch presence in eastern states where digital adoption lags. The study implicitly argues that infrastructure investment and financial literacy programs must accompany digital platform rollouts for the inclusion benefits to materialize.

2.3.9 Haralayya (2021): Impact of Bank In-Branch Initiatives on Consumers' Transition to Digital Banking in India

Author & Year	Haralayya, B. (2021)
Objective	To analyze the impact of bank in-branch initiatives and organizational changes on the transition of bank customers from physical branch banking to digital banking in India.
Methodology	Qualitative research design using document analysis of secondary literature on digital banking and financial inclusion in India between 2014 and 2020. A descriptive research approach was applied.

Key Findings	Organizational changes at the bank level are a vital component in accelerating digital banking adoption. Physical branch staff trained to onboard customers to digital platforms significantly improved adoption rates. The study found that digital banking adoption in India was not a purely autonomous consumer decision but was substantially shaped by bank-initiated nudges and facilitation. Hybrid branch-digital models were found more effective than pure digital onboarding in the Indian context.
Limitation	The qualitative and descriptive nature of the study limits causal inference. The focus on branch-level initiatives does not capture the role of fintech companies or government programs, both of which are arguably more influential in India's digital banking transition. The 2014 to 2020 study period also predates the dramatic post-COVID acceleration in digital adoption.

Critical Commentary: This study is interesting precisely because it challenges the assumption that digital banking adoption is a purely technological or psychological phenomenon. In the Indian context, particularly for SBI's predominantly older and rural customer base, the role of human intermediaries in facilitating digital onboarding is significant. YONO 2.0's plan to hire 6,500 new digital support staff to onboard customers both in branches and online (India.com, 2025) aligns perfectly with Haralayya's finding. SBI seems to have learned, perhaps through experience with the original YONO, that you cannot simply launch an app and expect 500 million customers to figure it out. The human touch remains essential, even in digital banking.

2.3.10 ResearchGate / IJSDR (2023): A Study on Consumer Perception of the SBI YONO App in Mandya District

Author & Year	Anonymous (IJSDR) (2023)
Objective	To identify the factors influencing the use of the YONO mobile application among account holders of SBI in Mandya District, Karnataka.
Methodology	Quantitative study using a structured questionnaire administered to 140 SBI customers in Mandya. Primary data analyzed using descriptive statistics including mean, standard deviation, and chi-square tests. Secondary data from websites, journals, and official publications.
Key Findings	The majority of respondents (42 percent) were very aware of YONO. Time-saving and 24/7 accessibility were the most influential factors in YONO usage, with mean values above 4 on a 5-point scale. Cost-effectiveness, transaction costs, user interface, and security features were moderately influencing factors with mean values between 3 and 4. Ease of registration and response speed were below-average factors. No significant association was found between gender and information source about YONO.
Limitation	The sample of 140 from a single district in Karnataka severely limits generalizability. Mandya is a semi-urban, predominantly Kannada-speaking region; its demographics may not represent the diversity of SBI's national customer base. The study also did not examine continued usage or customer satisfaction beyond adoption awareness.

Critical Commentary: Despite its small sample and geographical limitation, this study provides a useful ground-level picture of what YONO means to real users in a semi-urban Indian setting. The finding that ease of registration scores below average is notable and corroborates broader evidence that YONO's onboarding experience has been a friction point. For a bank trying to expand from 9.6 crore to 20 crore users, a clunky registration process is a serious strategic liability. The study also highlights a gap in the existing YONO-specific literature: there is almost no rigorous, large-sample, nationally representative study of YONO user experience, satisfaction, and loyalty. This is the kind of research this project partially addresses.

2.4 Research Gap Identification

Having reviewed the theoretical frameworks and empirical studies above, several important gaps emerge in the existing literature that this project is designed to address.

First, most technology adoption studies of Indian mobile banking either use TAM or UTAUT in isolation or apply them to generic mobile banking without distinguishing between public sector super-apps like YONO and private sector or fintech alternatives. The organizational dynamics, trust mechanisms, and government linkages specific to a public sector platform like YONO have not been adequately theorized or empirically tested. This is a meaningful gap because YONO's adoption dynamics are genuinely different from, say, PhonePe or Google Pay.

Second, existing YONO-specific studies are almost uniformly small-scale, geographically restricted, and descriptive rather than analytically rigorous. There is no comprehensive study that examines YONO's entire trajectory from its inception in 2017 through to the launch of YONO 2.0 in December 2025, integrating financial performance data, user growth data, and qualitative assessment of strategic decisions.

Third, the financial management implications of digital banking platforms are underexplored in the Indian literature. Most studies focus on consumer behavior or technology adoption at the customer level. Very few examine what digital banking transformation means for how banks internally manage credit risk, liquidity, customer acquisition costs, or product design, all of which are areas of direct relevance to financial management education and practice.

Fourth, the literature on the future of digital banking in India is largely either speculative or narrowly focused on specific technologies like AI or blockchain, without connecting technological possibilities to the practical capabilities required of financial managers navigating these changes. The present study fills this gap by grounding future-oriented analysis in the concrete realities of the YONO case and offering specific, actionable recommendations for financial management students.

Together, these gaps justify the present study and define its contribution. This project does not aim to add another TAM or UTAUT survey to an already crowded field. Instead, it uses YONO SBI as a lens through which to understand the intersection of technology, management, strategy, and financial practice in the context of India's ongoing digital banking transformation.

2.5 Conceptual Framework

Based on the literature reviewed above, the conceptual framework for this study integrates insights from TAM, UTAUT, and the Diffusion of Innovations theory, while adding institutional and contextual dimensions specific to India. The framework proposes that digital banking adoption and effectiveness in the Indian context are shaped by five interacting dimensions:

technology characteristics (usefulness, ease of use, security), user characteristics (digital literacy, risk perception, social influence), institutional factors (government support, bank credibility, distribution network), environmental conditions (infrastructure, regulatory framework, competitive landscape), and financial outcomes (inclusion, profitability, customer retention). YONO SBI sits at the intersection of all five dimensions. It is a technology product shaped by the capabilities of IBM and SBI's internal teams, used by customers with enormously varied digital experience and risk tolerance, backed by the explicit credibility of India's largest public sector bank, deployed across an infrastructure that ranges from high-speed urban fiber to patchy rural 2G networks, and evaluated against outcomes that include both commercial performance metrics and broader financial inclusion mandates. This multi-dimensional framework guides the analytical structure of Chapters 4 and 5.

2.6 Chapter Summary

This chapter has reviewed the theoretical foundations and empirical research most relevant to this study. TAM and UTAUT provide the core analytical vocabulary for understanding technology adoption in banking. The Diffusion of Innovations theory explains adoption trajectories. The financial inclusion literature situates digital banking within India's broader development agenda. Ten empirical studies were critically reviewed, each analyzed for its methodology, findings, and limitations. The chapter identified four key research gaps: the absence of institution-specific analysis of public sector banking super-apps, the shortage of comprehensive longitudinal YONO studies, the limited treatment of financial management implications, and the lack of practically grounded guidance for finance professionals navigating digital transformation.

Chapter 3 describes the research methodology used to address these gaps, including the data collection approach, sampling strategy, and analytical framework that guide the remainder of this project.

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